WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

LAOS

Asia

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Vientiane Capital	Seat of government and home of the central Investment Promotion and Management Committee Office; hosts the Saysettha Development Zone and the Thanaleng dry port and logistics hub	Administration, logistics, light manufacturing, services
Laos–China Railway corridor (Boten–Luang Prabang–Vang Vieng–Vientiane)	North–south rail spine that carried 4.5 million tonnes of freight in January–October 2025, up 12.8%, and 15.5 million passengers	Logistics, agro-exports, tourism, warehousing
Boten (Luang Namtha, China border)	Railway border crossing with China and site of the Boten Beautiful Land Special Economic Zone	Cross-border trade, logistics, processing
Luang Prabang	UNESCO World Heritage town and the anchor of a tourism sector that welcomed around 4.5 million international visitors in 2025	Hospitality, tourism services, heritage-linked real estate
Savannakhet (Savan-Seno SEZ)	The country's first SEZ (2003), on the East–West Economic Corridor linking Thailand and Vietnam	Assembly and component manufacturing, transit logistics
Champasak / Pakse (south)	Southern hub hosting the Champasak SEZ, including the Pakse-Japan SME SEZ, close to Thai and Cambodian borders	Agro-processing, coffee, SME manufacturing
Mekong hydropower basins (nationwide)	Hydropower makes electricity the leading export, earning more than $2 billion a year, with sales to Thailand and onward to Singapore via the LTMS power-integration project	Hydropower, solar and wind, transmission

INVESTOR ENTRY ROUTES

- Amended Law on Investment Promotion (in force since 1 October 2024), covering general, controlled and concession business, with profit tax holidays, customs duty and VAT exemptions and preferential land lease rates
- Investment Promotion and Management Committee Office (IPO), established in August 2025 under a committee chaired by a Deputy Prime Minister, acting as the central one-stop investment service
- Twelve Special Economic Zones, overseen by the SEZ Promotion and Management Office and provincial SEZ authorities, offering dedicated incentives and streamlined approvals

- Statutory guarantee against expropriation without due process and fair compensation, and the right to repatriate profits, dividends and capital through the formal banking system once tax obligations are met
- Bank of the Lao PDR manages the kip under a managed float and is widening the foreign-exchange market for large businesses, routing more export earnings through banks
- Concession, joint-venture and PPP routes for energy, mining and infrastructure, including partnerships with state enterprises such as Électricité du Laos
- Residence permits and multiple-entry business visas for foreign investors, their families and specialists

MARKET-ENTRY OBSERVATION

Laos in October 2026 is a steadily growing, increasingly connected economy with renewed investor momentum. GDP grew 4.8% in 2025 and 5% in the first half of 2026, led by services (+5.3%) and industry (+5.1%), with manufacturing output up 16.8%. Approved investment reached $8.5 billion across 34 controlled and concession projects in the first seven months of 2026, up 68% year-on-year, adding to $65.5 billion of private investment since 1989, led by China, Vietnam and Thailand. Macroeconomic stabilisation has been real: inflation fell from 26% in mid-2024 to 4% in October 2025, gross reserves rose to a record $4.2 billion in March 2026 and the central bank cut its policy rate to 8% in February 2026. An amended Investment Promotion Law, a new one-stop Investment Promotion and Management Committee Office and a 10th Five-Year Plan that looks to private investment for 64.4% of total investment needs point to a clear pro-investment direction, reinforced by the October 2026 appointment of Saleumxay Kommasith, a former foreign minister, as Prime Minister.

Laos' main structural challenge is public debt, built up largely through hydropower and infrastructure investment. The IMF puts public and publicly guaranteed debt at 82.5% of GDP in 2025, projected to fall to 77.2% in 2026, while the World Bank expects debt service of around 13% of GDP this year; growth forecasts for 2026 of 3.8% (World Bank) and 4.0% (ADB) reflect this alongside the global oil price shock, which lifted inflation to 7.9% in September 2026. The authorities are responding with sustained primary fiscal surpluses, deferrals of debt service to China, a rebuilding of reserves from $1.7 billion at end-2024, and a July 2026 central bank package to keep 2026 inflation below 7% by tightening money supply and widening formal foreign-exchange channels. For investors, the consolidation agenda is itself a source of opportunity: export diversification into agriculture, manufacturing and tourism, power-tariff and state-enterprise reform, and a strong official preference for private and PPP finance in energy, logistics and processing.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Public debt and debt service	Public and publicly guaranteed debt of 82.5% of GDP (2025) and debt service of around 13% of GDP limit fiscal space and keep state payment capacity tight	Favour projects with hard-currency export revenues or DFI co-financing; the IMF baseline sees debt falling toward 58% of GDP over the medium term as consolidation continues
Inflation and access to foreign exchange	Inflation rose to 7.9% in September 2026 on higher fuel prices, and a gap between bank and informal exchange rates can affect dollar availability	Hedge kip exposure, earn in dollars where possible and route flows through formal banks, which the central bank is actively supporting under its 2026 measures
Financial-crime and sanctions compliance in parts of the north	The US Treasury designated the Kings Romans casino in the Golden Triangle SEZ and its owner Zhao Wei in 2018, and Laos ordered scam centres there shut in August 2024	Conduct enhanced due diligence on partners and locations, avoid designated parties with sanctions counsel, and focus on well-governed zones such as Vientiane, Savannakhet and Pakse
Landlocked geography and logistics costs	Distance from seaports raises trade costs, but Laos is turning its position into a land-link advantage through the Laos–China Railway, dry ports and the East–West Economic Corridor	Locate along rail and corridor nodes and use multimodal routes to Chinese, Thai and Vietnamese ports
Governance and administrative capacity	Approval processes and transparency are still developing, and the IMF recommends stronger anti-corruption agencies and greater state-enterprise disclosure	Use the IPO one-stop service, experienced local counsel and international arbitration clauses in concession agreements

Issue	Potential Impact	Possible Mitigation
Banking sector strength	The IMF has recommended stronger bank capital and provisioning and an end to loan forbearance, which can limit local credit	Arrange finance offshore or with DFIs and regional banks, and track the reform roadmap arising from the IMF's financial-sector review
Small domestic market and skills base	Domestic demand is modest and skilled labour can be scarce outside Vientiane	Treat Laos as a production and transit base for ASEAN and China, and budget for training, which the government and IMF identify as a development priority

INVESTOR RISK NOTE

Laos' risk profile is that of a small, fast-connecting economy working through a well-defined debt consolidation. The fundamentals investors can rely on are real: growth of around 5% in the first half of 2026, record reserves of $4.2 billion, a sharp fall in inflation since 2024, a 68% rise in approved investment in 2026 and a modernised investment law with a one-stop service and repatriation and expropriation guarantees. Public debt remains high and the IMF still judges it unsustainable, so state counterparty capacity, foreign-exchange availability and fuel-driven inflation should be built into project structures, ideally through dollar revenues, offshore or DFI finance and hedging. Investors should also apply firm compliance standards: the Golden Triangle SEZ's dominant operator has been under US sanctions since 2018, and enhanced due diligence on partners and locations is essential. With these measures in place, Laos offers well-priced access to the ASEAN and Chinese markets, abundant renewable power and a government actively seeking private partners.

MARKET ACCESS

Laos is a member of ASEAN and the ASEAN Economic Community, a party to the Regional Comprehensive Economic Partnership (RCEP) and a WTO member since 2013, giving it preferential access across one of the world's fastest-growing regions. China is its largest trading partner, buying $3.3 billion of Lao exports in 2025, followed by Thailand, Vietnam and the United States; total foreign trade reached about $19.2 billion in 2025, led by electrical equipment, gold and potash, with electricity sales adding more than $2 billion a year. Physical access is improving fast: the Laos–China Railway links Vientiane to Kunming, the East–West Economic Corridor runs through Savannakhet to Thai and Vietnamese ports, a Vientiane–Vung Ang rail link to Vietnam's coast is planned, and the LTMS power-integration project carries Lao hydropower to Singapore through Thailand and Malaysia. This combination of ASEAN membership, RCEP preferences and Chinese rail connectivity gives Laos a genuine land-link role in mainland Southeast Asia.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Saleumxay Kommasith); President Thongloun Sisoulith	Sets economic and debt-consolidation policy; the new Prime Minister, a former foreign minister elected in October 2026, brings a strong international outlook	Primary reference point for Laos' strategic direction and high-level partnership dialogue
Investment Promotion and Management Committee (IPMC) and its Office (IPO)	Central one-stop investment service that licenses controlled and concession projects and coordinates other agencies	Standard first point of contact for market entry, licensing and incentives
Bank of the Lao PDR (Governor Bounkham Vorachit)	Monetary authority managing the kip, inflation policy and foreign-exchange rules	Relevant for repatriation, currency and banking-sector matters
Ministry of Finance	Leads fiscal consolidation, tax reform and public-debt management	Key counterpart on tax incentives, PPP structures and state payment arrangements
Ministry of Industry and Commerce	Handles enterprise registration, trade policy and ASEAN and RCEP commitments	Relevant for company set-up, export licensing and market-access questions
Électricité du Laos (EDL)	State power utility at the centre of hydropower, cross-border power trade and tariff reform	Essential partner for energy, transmission and power-purchase engagement

Actor	Why It Matters	Waverley Engagement Angle
SEZ Promotion and Management Office and provincial SEZ authorities	Oversee the 12 Special Economic Zones and approve business operations within them	Direct route to zone-based incentives for manufacturing and logistics projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Lao National Chamber of Commerce and Industry is the main domestic business body and a useful partner for introductions and policy dialogue, while the European Chamber of Commerce and Industry in Lao PDR (EuroCham Laos) represents European investors. The IPO's annual National Conference on Investment Promotion and Management sets out priority projects and approval data. The World Bank, IFC and Asian Development Bank run active programmes in macroeconomic reform, energy, connectivity and private-sector development, and are natural co-financing partners for larger projects. Neighbouring-country investors from China, Vietnam and Thailand, together with Japanese and Singaporean partners in the Pakse-Japan SME SEZ and the LTMS power trade, are valuable sources of practical market intelligence.

INVESTOR PROFILE BEST SUITED

Laos suits investors seeking an ASEAN production and transit base with low-cost renewable power and improving connectivity: logistics and agro-processing investors positioned along the Laos–China Railway and the East–West Economic Corridor; manufacturing investors using SEZ incentives in Vientiane, Savannakhet and Pakse; renewable-energy and transmission investors serving regional power demand; and tourism and hospitality investors building on a recovery to around 4.5 million international visitors. Investors with dollar-linked revenues, DFI partnerships or regional supply chains are best placed, and should apply disciplined currency and compliance management.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Investment Promotion and Management Committee Office
Open direct dialogue with the IPO to confirm the licensing route, controlled-list status and incentives available under the amended Investment Promotion Law.

STEP 2: Select a corridor-linked location
Compare SEZ terms in Vientiane, Savannakhet and Pakse, and sites along the Laos–China Railway, against logistics costs to Chinese, Thai and Vietnamese markets.

STEP 3: Structure currency and financing resilience
Prioritise dollar revenues or hedging, arrange offshore or DFI co-financing, and agree repatriation mechanics through the formal banking system from the outset.

STEP 4: Apply enhanced compliance due diligence
Screen partners, landholders and zone operators with sanctions and anti-money-laundering counsel, with particular care in the Golden Triangle area.

STEP 5: Track the debt-consolidation and reform agenda
Follow IMF, World Bank and government updates on fiscal reform, power tariffs and state-enterprise restructuring, which are opening new PPP and private-investment opportunities.